

The Croman Name Returns to Multifamily, But the Capital Thesis Has Changed

Next-generation buyers target rent-stabilized assets that the market has shunned since 2019.

The most interesting number in Jake and Adam Croman's latest acquisition is not the purchase price. It is the asset type: a five-story walkup at 118 Mulberry Street in Chinatown where roughly half the units are rent-stabilized. That is not a bet on deregulation. It is a bet on cash flow at a basis low enough to survive the 2019 Housing Stability and Tenant Protection Act.

The Croman name carries baggage in New York real estate. Steve Croman built a portfolio on turnover and vacancy deregulation. His sons are buying into a market where those tools no longer exist. That distinction is not just reputational. It is structural. Jake and Adam Croman, alongside fashion heir Jeremy Tahari and other investors, have quietly assembled a collection of small apartment buildings across Manhattan.

Their portfolio includes 303 West 116th Street, 323 East 108th Street, and several East Harlem and Alphabet City properties. In one deal, they recapitalized a building with NBA player Mo Bamba. The buildings are small. The strategy is not. Most institutional capital has avoided rent-stabilized multifamily since the 2019 law compressed the upside. Value-add underwriting that depended on pushing rents to market no longer pencils.

The result: a buyer pool that has thinned dramatically, and pricing that has adjusted accordingly. The Cromans are stepping into that gap. Their thesis appears to be that stabilized cash flow, underwritten at a conservative basis and supplemented by commercial storefront income, can generate a return without relying on vacancy deregulation. That is a fundamentally different risk calculation than the one their father made.

It is also a capital markets signal worth watching. When a well-known family name re-enters a shunned asset class, it suggests the repricing has gone far enough to attract buyers who can live with the regulatory constraints. The question is whether the debt markets agree. Small rent-stabilized buildings do not easily access agency debt. Fannie Mae and Freddie Mac have strict requirements around rent-regulated properties, and many lenders remain cautious.

The Cromans' ability to finance these acquisitions will tell the market more than any single purchase price. If they are using private capital or equity-heavy structures, the strategy is a niche play. If they are securing conventional financing, it signals that lenders are beginning to underwrite rent-stabilized cash flow as durable rather than distressed. The family separation is also a capital markets issue.

Jake Croman has emphasized that he and his brother operate independently from their father, who served prison time and settled an \$8 million tenant harassment case. The latest acquisition listed their mother as signatory and used Centennial Properties as a mailing address, which Jake described as an administrative convenience. Reputation matters in capital access. Lenders and equity partners will scrutinize the governance structure.

If the next generation can secure institutional capital on its own terms, it validates the separation. If they rely on family-connected sources, the market will treat the strategy as a continuation, not a restart. Who benefits from this trade? Sellers of rent-stabilized assets who have been waiting for a bid. The Cromans are providing liquidity in a segment where buyers are scarce. That gives them pricing power. Who is exposed?

Owners who bought rent-stabilized buildings at pre-2019 valuations and are now facing refinancing without the expected rent growth. The Cromans' entry does not solve that problem. It highlights how far the basis has fallen. What should the market watch next? The financing. If the Cromans close their next deal with a conventional bank loan or a Fannie Mae small-balance product, the signal is that rent-stabilized multifamily has found a floor.

If they continue using all-cash or private equity structures, the asset class remains a specialist trade. The Croman name is back in the deal flow. The capital thesis behind it is the real story.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co